

FEDERAL MARITIME COMMISSION

FMC AGREEMENT No. 201349,
WORLD SHIPPING COUNCIL
AGREEMENT, A COOPERATIVE
WORKING AGREEMENT

Docket No. 25-10

Served: June 26, 2025

BY THE COMMISSION: Louis E. SOLA, *Chairman*; Rebecca F. DYE, Daniel B. MAFFEI, and Max S. VEKICH, *Commissioners*.

Order to Show Cause

The World Shipping Council (“WSC”), a trade association whose members operate approximately 90 percent of the world’s liner vessel services, filed an agreement with the Federal Maritime Commission (“Commission” or “FMC”) in October 2020, FMC Agreement No. 201349 (“Agreement”). *See* Agreement (as most recently amended and effective as of Dec. 20, 2024), attached as Exhibit A. The Agreement authorizes WSC’s members who are parties to the Agreement to engage in routine trade association activities, such as exchanging information and formulating common positions on topics relevant to ocean shipping and engaging in public policy activities. Parties to the Agreement currently include 19 ocean common carriers (“Agreement Parties”). *See* Ex. A at Appendix A: Parties. The Agreement became effective in November 2020 by operation of law. *See* 46 U.S.C. § 40304. The Agreement has since been amended four times to add new parties, update WSC’s Bylaws, and allow WSC to develop tools for cargo

screening. These amendments similarly became effective by operation of law. *See id.*

The Commission has reason to believe that the Agreement, which categorically does not involve the commercial operations of ocean common carriers acting in their regulated capacity, is not within the Commission's limited jurisdiction over filed agreements. The Commission hereby initiates an investigation of WSC's Agreement, pursuant to its authority under 46 U.S.C. § 41302, to determine whether the Agreement, as filed, is in violation of the Shipping Act, and if necessary, address issues related to the ongoing monitoring of the Agreement. As a first step, we order WSC to show cause as to why the Commission has jurisdiction over the Agreement and should not cancel the Agreement as outside the agency's jurisdiction under § 40301(a).

I. BACKGROUND

WSC was in operation as a trade association for approximately 20 years before it filed its Agreement with the Commission on October 1, 2020. *See* Ex. A at Art. 2. WSC describes itself as providing “a unified voice for the global liner shipping industry on public policy matters impacting the industry,” and as an organization that “interface[s] with governments and advocate[s] industry positions.” *Id.* WSC stated it filed the Agreement because the trade association “decided to expand the scope of issues to be addressed by and within WSC to include certain issues which would arguably fall within the FMC's jurisdiction.” *Id.* The Agreement authorizes WSC's members to exchange information and reach voluntary agreement on various topics relating to ocean shipping, including best practices. *Id.* at Art. 5.1. These topics are described as:

- Environmental and climate-related matters;
- Positions on international agreements, treaties, conventions, and laws related to international trade;

- Positions on government regulation of transportation infrastructure and supply chain logistics;
- Positions on government regulation of information technology and data submissions for transportation-related documents;
- Legal issues related to competition or antitrust laws and the application of those laws to the ocean transportation industry;
- Safety and security issues in ocean shipping, including dangerous cargo; and
- Trade association activities.

See Ex. A at Art. 5.1(a)-(g), 6.

The Agreement amended WSC's Bylaws such that any of its members that meet the Shipping Act's definition of an "ocean common carrier" are parties to its self-styled "cooperative working agreement" filed with the FMC. *See* Ex. A at Art. 8; Ex. A at Appendix B: WSC Bylaws Art. 3, Section 8; *see also* 46 U.S.C. § 40102(7), (18) (defining "common carrier" and "ocean common carrier"). The Agreement does not authorize the Agreement Parties to discuss or agree on transportation rates, charges, the deployment of vessel capacity, or the terms and conditions of the ocean transportation services offered by Agreement Parties to their customers. *See* Ex. A at Art. 5.4; Ex. A at Appendix B: WSC Bylaws Art. 2, Section 2.

By operation of statute, the Agreement went into effect on November 15, 2020. *See* 46 U.S.C. § 40304(c)(1). Since the 2020 initial filing, the Agreement has been amended four times, all of which have also gone into effect by operation of statute. *Id.* § 40304(c)(1)-(2). The first and second amendments, filed on December 1, 2020, and February 2, 2022, respectively, added two

additional ocean common carriers as Agreement Parties. The third amendment, filed on May 17, 2023, allowed WSC to develop tools and processes to enhance cargo screening to better detect and flag containerized cargo for dangerous goods. The Commission requested additional information from WSC to better understand the scope of this amendment, and the amended Agreement became effective on September 12, 2023. *See* Notice of Request for Additional Information, 88 Fed. Reg. 42941 (July 5, 2023). The fourth and most recent amendment, filed on November 5, 2024, revised WSC's Bylaws.

WSC's Agreement and its subsequent amendments do not cite which provision of the Shipping Act allegedly gives the Commission jurisdiction over the Agreement.

II. DISCUSSION

A. FMC Jurisdiction over Filed Agreements and Cooperative Working Arrangements Among Ocean Common Carriers

The Commission has limited jurisdiction over agreements between or among ocean common carriers. The seven types of agreements among ocean common carriers over which the Commission has jurisdiction are agreements to:

- 1) discuss, fix, or regulate transportation rates, including through rates, cargo space accommodations, and other conditions of service;
- 2) pool or apportion traffic, revenues, earnings, or losses;
- 3) allot ports or regulate the number and character of voyages between ports;
- 4) regulate the volume or character of cargo or passenger traffic to be carried;

- 5) engage in an exclusive, preferential, or cooperative working arrangement between themselves or with a marine terminal operator;
- 6) control, regulate, or prevent competition in international ocean transportation; or
- 7) discuss and agree on any matter related to a service contract.

46 U.S.C. § 40301(a)(1)-(7).

Filing an agreement with the Commission has significant legal consequences by conferring an exemption from the federal antitrust laws for activity conducted under the agreement. *See* 46 U.S.C. § 40307(a)(1) (“The antitrust laws do not apply to (1) an agreement . . . that has been filed and is effective under this chapter.”). The Commission carefully reviews conduct under filed agreements to ensure that activities outside of its jurisdiction do not improperly have antitrust immunity.

As noted above, WSC does not cite in the Agreement which provision of § 40301(a) allegedly covers its filed agreement. However, the Agreement is subtitled as a “cooperative working agreement” and is also referred to as a “cooperative working agreement” in WSC’s Bylaws. *See* Ex. A at Title Page; Ex. A at Appendix B: WSC Bylaws Art. 3, Section 8. It therefore appears that WSC intended for its Agreement to fall under § 40301(a)(5), an agreement for a “cooperative working arrangement” between ocean common carriers.

Two criteria determine if an agreement is within the Commission’s jurisdiction under § 40301(a): the agreement (1) must be between or among ocean common carriers who are acting in their regulated capacity, and (2) must authorize or concern one or more of the qualifying activities referenced in the statute. *See, e.g., Foreign-to-Foreign Agreements--Exemption*, FMC No. 87-24, 1989 FMC LEXIS 19, at *24-25 (FMC Oct. 11, 1989) (agreements within FMC jurisdiction must be “between at least two ‘ocean

common carriers” and “must concern at least one of the seven categories of activities” in the statute). Under the first prong, the Commission’s authority is limited to activities and entities that are regulated under the Shipping Act. *See, e.g., Crocus Investments LLC v. Marine Transport Logistics*, Docket No. 15-04, 2019 WL 4734299, at *7 (FMC July 16, 2019) (“[T]he inquiry [to determine if the Shipping Act applies] is whether a respondent was acting as regulated entity with respect to the conduct at issue.”), *aff’d on other grounds, Crocus v. Fed. Mar. Comm’n*, No. 21-1199, 2022 WL 3012275 (D.C. Cir. July 29, 2022); *see also Auction Block Co. v. Fed. Mar. Comm’n*, 606 F. App’x 347, 347-48 (9th Cir. 2015) (affirming terminal’s conduct not within Shipping Act’s jurisdiction where it did not meet the statutory definition of “marine terminal operator” by not serving carriers engaged in international trade). Ocean common carriers are clearly acting in their regulated capacity—and thus within the Commission’s jurisdiction—when engaging in the specific business activities related to ocean transportation service in trade between the U.S. and a foreign port. *See* 46 U.S.C. § 40102(7) (defining “common carrier”) and (18) (defining “ocean common carrier”). The more attenuated the relationship is between carriers’ core activities involving handling, storing, or transporting cargo and the activities at issue, the less likely they are to fall under the Shipping Act.

As to the second prong, the Commission and federal courts have generally interpreted agreement-qualifying activities as conferring broad authority to the Commission over agreements between ocean common carriers when they are acting in their regulated capacity. *See generally Volkswagenwerk Aktiengesellschaft v. Fed. Mar. Comm’n*, 390 U.S. 261, 273-75 (1968) (reversing FMC’s “extremely narrow” interpretation of “a statute that uses expansive language” describing activities that bring ocean common carrier agreements under its jurisdiction); *Foreign-to-Foreign Agreements--Exemption*, 1989 FMC LEXIS 19, at *25 (interpreting the statute as “broadly” describing qualifying agreement activities compared to the “ocean common carrier part” of the test which is “written in comparatively narrow terms and

includes conditions clearly meant to place limits on the FMC's powers").

In contrast, the specific type of agreement-qualifying activity at issue here with the Agreement, a "cooperative working arrangement," has been interpreted more narrowly. The concept of "cooperative working arrangements" has been included in the Shipping Act since it was first enacted in 1916. *See* 39 Stat. 733, 734 (1916) (later codified at 46 U.S.C. § 814) (" . . . or in any manner providing for an exclusive, preferential, or cooperative working arrangement"). Section 15 of the 1916 Act listed the types of agreements among ocean common carriers that were required to be filed with the Commission. *Id.* These categories functionally align with the types of agreements currently codified in § 40301(a), with the exception of agreements relating to service contracts in § 40301(a)(7) that were created in the 1984 Act. *See id.* The 1916 Act, like the current § 40301, does not clearly define what activities would fall within a "cooperative working arrangement."

The Supreme Court examined the limitations of the 1916 Act's "cooperative working arrangements" in *Federal Maritime Commission v. Seatrain Lines, Inc.*, 411 U.S. 726 (1973). The Court affirmed the ruling from the U.S. Court of Appeals for the District of Columbia Circuit that the term "cooperative working arrangement" "was clearly meant as a catchall provision intended . . . to summarize the type of agreements covered." *Id.* at 734. The Supreme Court held that pursuant to "a familiar canon of statutory construction," these catchall provisions "are to be read as bringing within a statute categories similar in type to those specifically enumerated." *Id.* Applying that principle, the Court decided that "cooperative working arrangements" within the Shipping Act must be similar to the other types of agreements specifically enumerated, such as fixing or regulating transportation rates, allotting ports, or regulating freight volume or traffic.

The Court further rejected "a broad reading" of agreement-qualifying activities because that "would conflict with our

frequently expressed view that exemptions from antitrust laws are strictly construed.” *Id.* at 732-33 (citing *United States v. McKesson & Robbins, Inc.*, 351 U.S. 305, 316 (1956)). Courts have long interpreted statutes granting antitrust exemptions, including the Shipping Act, narrowly to preserve the efficacy of the antitrust laws. *See, e.g., Grp. Life & Health Ins. Co. v. Royal Drug Co.*, 440 U.S. 205, 231 (1979) (explaining that the doctrine of construing antitrust exemptions “narrowly . . . is not limited to implicit exemptions from the antitrust laws, but applies with equal force to express statutory exemptions” (citations omitted)); *Latin Am./Pac. Coast S.S. v. Fed. Mar. Comm’n*, 465 F.2d 542, 552 (D.C. Cir. 1972) (“[T]he Shipping Act of 1916 conferred only *limited* antitrust immunity upon the shipping industry . . . ambiguities [in interpreting the Act], if any, should be resolved in favor of free competition.” (citations omitted)). Indeed, this narrow interpretation aligns with the legislative history of the Shipping Act because “Congress intended to tolerate only the minimum anticompetitive behavior necessary to preserve an essentially competitive structure in the maritime industry . . . it did not intend thereby to remove all effective competition.” *Seatrains Lines, Inc. v. Fed. Mar. Comm’n*, 460 F.2d 932, 940 (D.C. Cir. 1972) (describing legislative history of the Shipping Act of 1916 and the Alexander Report).

The Commission’s current regulations are consistent with the Supreme Court’s and the D.C. Circuit’s interpretation of a “cooperative working arrangement.” The regulation at 46 C.F.R. § 535.104(i) defines “cooperative working agreement” as “an agreement that establishes exclusive, preferential, or cooperative working relationships that are subject to the Act, but that do not fall precisely within the parameters of any specifically defined agreement.” *See also* 46 C.F.R. § 535.104(a) (defining an “agreement” to include, among other things, “an . . . arrangement . . . entered into by or among ocean common carriers and/or marine terminal operators”). The definition of cooperative working agreement requires the agreement’s conduct be subject to the Shipping Act, which is intended to regulate the operations of ocean common carriers acting in their regulated capacity. This definition

also invokes *Seatrain*'s catchall concept, as the term includes agreements that are closely related but just outside the boundaries of the other defined agreement categories.

B. WSC's Agreement May Not Be a Cooperative Working Arrangement Within the FMC's Jurisdiction

WSC's Agreement raises serious concerns that it is not a "cooperative working arrangement" with the boundaries of § 40301(a)(5) of the Shipping Act, and is therefore outside of the Commission's jurisdiction over filed agreements. While the language in § 40301(a)(5) is broad on its face, it cannot be so broad as to cover *any* kind of cooperation between or among ocean common carriers.

First, the Agreement does not appear to satisfy the first prong of § 40301(a) as the Agreement Parties are not acting in their regulated capacity pursuant to the Agreement. WSC is a trade association composed of ocean common carriers, and the Agreement likewise describes the activities of a trade association.¹ Reaching non-binding agreement on positions related to ocean shipping laws is simply not the same as providing ocean transportation services. Indeed, the terms of the Agreement expressly forbid the Agreement Parties from even discussing or agreeing on the actual operations of the Agreement Parties' ocean transportation services. *See supra* Section I: Background. Put another way, an entity engaged only in the discussion and lobbying activities under the Agreement would not qualify as an "ocean common carrier" under the Shipping Act because it is performing none of the functions that define a common carrier. It is not offering ocean transportation, assuming responsibility for cargo, or providing or arranging for ocean transportation in U.S.-foreign commerce.

¹ The Agreement's activities relating to the development of cargo screening programs and tools, described in Article 5.1(e), appear to be most closely related to activities covered by § 40301(a)(5).

Second, the “cooperation” between ocean common carriers authorized by the Agreement does not appear to be the type of conduct covered by the Shipping Act, nor the Act’s grant of antitrust immunity. As determined by the Supreme Court in *Seatrain*, a “cooperative working arrangement” was meant as a narrow catch-all closely related to the other explicitly operations-focused agreement categories set out in the 1916 Act, which are replicated in § 40301(a). *See Seatrain*, 411 U.S. at 734. Again, the Agreement does not involve and is wholly distinct from the actual operations of WSC’s ocean common carrier-members.

Moreover, ambiguity about whether conduct in an agreement is properly within the Commission’s jurisdiction—and therefore exempt from the antitrust laws—must be resolved narrowly. Congress granted a limited antitrust exemption to collaboration between competing ocean common carriers necessary to preserve competition and prevent harmful consolidation in the ocean transportation industry. *See, e.g., Seatrain*, 460 F.2d at 938-40. A trade association not involved in providing ocean transportation service does not appear to be engaged in the type of conduct Congress intended to immunize from scrutiny by antitrust enforcers and private plaintiffs.

The weight of long-standing Supreme Court jurisprudence, as well as the Commission’s own regulations and precedents, suggest that the Agreement is not within the Commission’s jurisdiction under § 40301(a).

III. CONCLUSION

Pursuant to 46 U.S.C. § 41302 and 46 C.F.R. § 502.91, the Agreement Parties, through WSC, are hereby **ORDERED** to show cause as to why the Commission has jurisdiction over the Agreement and should not cancel the Agreement for lack of

jurisdiction under 46 U.S.C. §§ 40301(a) and 41302(a).

It is further **ORDERED** that:

- 1) The Agreement Parties' brief, which must not exceed 50 pages, and supporting materials, are due on or before August 26, 2025;
- 2) Motions for leave to file an amicus brief under 46 C.F.R. § 502.73 are due on or before September 9, 2025, and must include a copy of the brief, which must not exceed 25 pages;
- 3) The Agreement Parties' reply to any amicus briefs is due on or before September 30, 2025, and must not exceed 20 pages; and
- 4) Consistent with the Commission's Rules of Practice and Procedure, 46 C.F.R. Part 502, all documents filed in this proceeding will be available to the public on the Commission's website unless the filing party requests and is granted confidential treatment of the materials under 46 C.F.R. § 502.5.
- 5) In accordance with Rule 61 of the Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.61, the final decision of the Commission shall be issued by March 26, 2026.

In the event that the Commission determines the Agreement is within its jurisdiction under 46 U.S.C. § 40301(a), the Commission will then issue a further order to address issues related to the ongoing monitoring of the Agreement.

By the Commission.

David Eng
Secretary

EXHIBIT A

Original Title Page

WORLD SHIPPING COUNCIL AGREEMENT

A Cooperative Working Agreement

FMC Agreement No. 201349

Expiration Date: None

This Agreement Has Not Been Published Previously

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ARTICLE 1: NAME OF THE AGREEMENT

This agreement shall be known as the World Shipping Council Agreement (“the Agreement”).

ARTICLE 2: PURPOSES OF THE AGREEMENT

The World Shipping Council (“WSC”) is a trade association that provides a unified voice for the global liner shipping industry on public policy matters impacting the industry. Since its establishment in 2000, WSC has interfaced with governments and advocated industry positions with regard to laws, policies, rules and regulations of governments and international organizations affecting liner carriers, and increased governmental and public awareness of the importance, necessity and efficiency of liner carrier services. The members of WSC have decided to expand the scope of issues to be addressed by and within WSC to include certain issues which would arguably fall within the FMC’s jurisdiction. The purpose of this Agreement is to comply with the Shipping Act by authorizing the parties hereto to discuss, communicate, and cooperate with regard to all matters as set forth in this Agreement.

ARTICLE 3: PARTIES

The Parties to the Agreement are the individual ocean common carrier members of WSC, which are listed in Appendix A hereto (hereinafter referred to individually as a “Party” and jointly as the “Parties”), as may be amended from time to time.

ARTICLE 4: GEOGRAPHIC SCOPE

As a trade association, the geographic scope of this Agreement is defined by reference to the industry issues and policy matters upon which the WSC members are involved, rather than the specific markets and trades served by the Parties. This Agreement covers the general subject of international liner shipping worldwide, including in the U.S. international trades within the jurisdiction of the Federal Maritime Commission.¹

ARTICLE 5: AUTHORITIES

5.1 Under this Agreement, the Parties, between and among themselves, and with other members of WSC (see Articles 5.4 and 8.2) are authorized to exchange information, discuss, and reach voluntary, non-binding agreement (including best practices and/or guidelines for voluntary implementation of best practices), with respect to any of the following matters:

(a) environmental and climate-related matters relating to vessel emissions (liquid, gas and/or solid), ship recycling, cold-ironing, ballast water exchange, plastics at sea, noise pollution, the protection of threatened and endangered species, vessel operations in environmentally sensitive regions (including the Artic, Antarctic, and/or other areas where vessel operations may affect wildlife), requirements of or under consideration by state, national, regional or international governments or institutions relating to vessel fuel

¹ Although the activities described herein shall also be undertaken with respect to trades between countries other than the United States, such trades are not within the scope of the U.S. Shipping Act or the jurisdiction of the Federal Maritime Commission ("FMC") and therefore are not included in this Agreement.

types and usage, and the development and/or use of alternative vessel fuels and energy-efficient technologies.

(b) legal and regulatory matters relating to competition laws or antitrust laws and the application of same to the ocean transportation industry, including the adoption and/or maintenance of competition law exemptions for cooperative arrangements in liner shipping; trade, customs and security laws; regulation of liner shipping, cargo liability laws and/or treaties; import, export, or trade tariffs; and economic sanctions, laws or regulations.

(c) positions to be taken with respect to international agreements, treaties, and conventions (whether multi-lateral or bi-lateral) and/or national or supra-national laws relating to tonnage, income, or other taxes, or international trade (including the imposition of tariffs on imports and/or exports in any country or region).

(d) positions to be taken with respect to requirements of or under consideration by state, national, regional or international governments or institutions relating to transportation infrastructure; cargo and supply chain fluidity; port and terminal operations; inland operations impacting the provision of ocean and intermodal transportation services; cargo handling/processing infrastructure and facilities; canal operations and toll systems; and related industry practices or policies.

(e) safety and security issues relating to the packing, labeling, stowage and handling of dangerous cargoes; the proper packing, stowage and lashing of cargo; piracy; vessel and crew security and health, including positions to be

taken in response to requirements of or under consideration by state, national, regional or international governments or institutions relating to global pandemics; screening, scanning and/or weighing cargo; pest infestation of cargo, containers and/or vessels; security and customs requirements (including crew immigration); counterfeit goods; smuggling of contraband; human or wildlife trafficking; containers lost at sea; vessel fires; vessel automation; and technological advancements in vessel operation and navigation. To reduce the safety risks to crews, vessels, other cargo, and the marine environment created by the carriage of undeclared or otherwise non-compliant dangerous goods, the Parties, between and among themselves and with other members of WSC, are authorized to: (i) discuss and agree upon voluntary best practices relating to minimum safety standards for the screening and inspection of dangerous goods cargoes, which the individual Parties and other members of WSC may choose to adopt and implement; (ii) establish and administer, either directly and/or through one or more third-party contractors, a common digital solutions tool relating to cargo screening processes, technologies, and methods, including the provision by the Parties and other members of WSC of cargo booking data and information and cargo documentation to a third party contractor, and checking such cargo booking data and information and cargo documentation against shared keywords libraries, Optical Character Recognition systems, and background checks, provided that no cargo booking data and information and cargo documentation shall be exchanged directly between and among the Parties and/or other members of WSC, participation in any common digital solutions tool shall be voluntary, and each Party and other member of WSC

cesses, technologies, and methods in lieu of or in addition to any common digital solutions tool; and (iii) create and maintain, either directly and/or through one or more third-party contractors, databases of shippers and cargo inspection companies that demonstrate conformance with such minimum safety criteria as may be established and/or revised by the Parties and other members of WSC from time to time, provided that no commercially sensitive information shall be exchanged between and among the Parties and/or other members of WSC related to any such database and that each Party and other member of WSC shall at all times be free to individually determine those entities with which it does business. Parties participating in any voluntary program contemplated by subsections (i), (ii), and (iii) of this section 5.1(e) will enter individually into contractual arrangements with any third party contractor(s).

(f) positions to be taken with respect to requirements of or under consideration by state, national, regional or international governments, institutions, and standards bodies relating to information technology, data submission standards, customs matters (including container inspection and sealing), cybersecurity, safety or performance standards for electronic container monitoring devices, or electronic bills of lading and other transportation related documents; provided that the Parties shall not develop or adopt digital standards for the format, content, transmission, or use of digital information.

(g) activities covered by Article 6 hereto.

5.2 The Parties hereto, acting through WSC are authorized to discuss and take common positions relating to the subjects within the scope of Articles

organizations, cargo owners, ocean transportation intermediaries, customs brokers, terminal operators, and inland carriers or providers of services relating to ocean transportation, such as cargo surveyors, security companies, pilots, tug operators, and line handlers); provided, however, that all common positions

reached by the Parties hereto acting through WSC shall be entirely voluntary, and no Party shall be bound by any such common position, and provided further that nothing herein authorizes the Parties hereto to engage in any joint commercial negotiations with any stakeholder or service provider, vendor or cargo interest, except as provided in section 5.1(e) of this agreement.

5.3 Nothing in this Agreement shall be construed as obligating any Party to discuss, provide or exchange any information with any other Party or Parties. If any discussion or exchange of information results in the Parties' adoption of any voluntary, non-binding agreement (including best practices and/or guidelines for voluntary implementation of best practices), those agreements shall be subject to the requirements of all applicable laws and to the right of each Party to independent action and to necessary approvals or requirements of Governments.

5.4 Nothing in this Agreement authorizes the Parties to discuss or agree upon: (a) the vessel capacity to be deployed by any of them, current, future or proposed; or (b) the terms and conditions under which any member provides ocean transportation services to its customers.

5.5 It is understood that to the extent any entity not a person subject to the Shipping Act of 1984, as amended, that is a member of WSC joins in activities of the Parties under this Agreement, such participation does not bring such entity(ies) under the FMC's jurisdiction, nor does it confer antitrust immunity on the non-regulated entity under the Shipping Act; provided that the participation of such non-regulated entities in activities under the Agreement is

understood to have no effect on the regulatory jurisdiction of the FMC or the antitrust immunity conferred by the Shipping Act on the Parties for their activities under this Agreement.

ARTICLE 6: TRADE ASSOCIATION ACTIVITIES

Since it was established as a non-profit corporation and trade association, WSC has undertaken and will continue to undertake certain public policy activities and initiatives on behalf of its members that are constitutionally protected and exempt from the U.S. antitrust laws under the decisions in *Noerr-Pennington* and its progeny.

ARTICLE 7: ADMINISTRATION OF AGREEMENT

7.1 The operation of WSC shall be governed, and this Agreement shall be administered, in accordance with the WSC Bylaws, attached hereto as Appendix B.

7.2 The Parties acting through WSC may from time to time establish such standing and/or ad hoc councils, committees, or working groups as they deem necessary or desirable, as set forth in Appendix B.

7.3 Upon action taken by the Parties hereunder, the WSC Secretariat and Agreement counsel are hereby authorized to prepare amendments to this Agreement and information relating thereto, and to execute and file same with the Federal Maritime Commission.

ARTICLE 8: MEMBERSHIP

8.1 Any ocean common carrier meeting the WSC member eligibility criteria established pursuant to Appendix B may become a party to this Agreement.

8.2 All WSC members that are ocean common carriers shall be Parties to this Agreement. Those members of WSC that are not ocean common carriers will not be Parties to this Agreement. Membership in WSC may be held by an entity that is not an ocean common carrier in its own right, but which is the parent company of one or more ocean common carriers. In such cases, the parent company shall be the member of WSC and the ocean common carrier(s) shall be party to this Agreement.

8.3 This Agreement shall be amended to reflect the addition of any new members to WSC or the resignation of any members from WSC.

ARTICLE 9: VOTING

9.1 Except as otherwise provided herein, voting shall be in accordance with Appendix B. Except as otherwise provided in Article 8.3, amendments to this Agreement shall require a three-quarters vote of the Parties.

9.2 All actions taken by the Parties hereunder acting through WSC, including discussion or exchange of information, participation in any standing and/or ad hoc councils, committees, or working groups, and adoption of any voluntary, non-binding agreements and/or common positions relating to the subjects within the scope of Articles 5.1, shall be entirely voluntary and no Party shall be bound by any such actions.

ARTICLE 10: DURATION AND TERMINATION

10.1 This Agreement shall become effective on the date it enters into effect under the U.S. Shipping Act of 1984, as amended, and shall remain in effect indefinitely thereafter.

10.2 This Agreement may be terminated by a vote of three-quarters of the Parties.

ARTICLE 11: GENERAL PROVISIONS

11.1 This Agreement does not create an association, joint venture, partnership, employment relationship, or other agency relationship between or among any of the Parties hereto or between any Party hereto and any person acting in connection with this Agreement. Neither does it create any entity with a legal personality or give rise to any joint liability or indemnity obligation on the part of any Party, nor does any Party authorize acceptance of service of process by anyone on its behalf.

11.2 If any term or provision of this Agreement is invalid, illegal or incapable of being enforced by any rule of law or public policy, all other terms and provisions of this Agreement shall nonetheless remain in full force and effect. Upon a determination that any term or provision of this Agreement is invalid, illegal or incapable of being enforced by any rule of law or public policy, the Parties shall negotiate in good faith to modify this Agreement so as to effect the original intent of the Parties as closely as possible in a mutually acceptable

manner in order that the activities contemplated hereby be undertaken as originally contemplated to the fullest extent possible.

[SIGNATURE PAGE FOLLOWS]

SIGNATURE PAGE

IN WITNESS WHEREOF, the Parties have caused this Agreement to be
executed by their duly authorized representatives as of this 5th day of
November 2024.

COSCO SHIPPING LINES CO.,
ORIENT OVERSEAS CONTAINER LINE
LTD., and OOCL (EUROPE) LIMITED
(acting as a single party)



By: _____

Name: Robert K. Magovern

Title: Attorney-in-Fact

CMA CGM S.A., APL CO. PTE LTD.,
AMERICAN PRESIDENT LINES LLC
and ANL SINGAPORE PTE LTD.
(acting as a single party)



By: _____

Name: Robert K. Magovern

Title: Attorney-in-Fact

CROWLEY CARIBBEAN SERVICES, LLC
and CROWLEY LATIN AMERICA
SERVICES, LLC (acting as a single party)



By: _____

Name: Robert K. Magovern

Title: Attorney-in-Fact

EVERGREEN MARINE CORPORATION
(TAIWAN) LTD.



By: _____

Name: Robert K. Magovern

Title: Attorney-in-Fact

SIGNATURE PAGE (continued)

HAPAG-LLOYD AG

By: _____

Name: Robert K. Magovern

Title: Attorney-in-Fact

HMM COMPANY LIMITED

By: _____

Name: Robert K. Magovern

Title: Attorney-in-Fact

INDEPENDENT CONTAINER LINE, LTD.

By: _____

Name: Robert K. Magovern

Title: Attorney-in-Fact

KAWASAKI KISEN KAISHA LTD.

By: _____

Name: Robert K. Magovern

Title: Attorney-in-Fact

MAERSK A/S and HAMBURG
SUDAMARIKANISCHE
DAMPFSCHIFFFAHRTS
GESELLSCHAFT KG
(acting as a single party)

By: _____

Name: Robert K. Magovern

Title: Attorney-in-Fact

MSC MEDITERRANEAN
SHIPPING COMPANY SA

By: _____

Name: Robert K. Magovern

Title: Attorney-in-Fact

MTSUI O.S.K. LINES, LTD.

By: _____

Name: Robert K. Magovern

Title: Attorney-in-Fact

NIPPON YUSEN KAISHA

By: _____

Name: Robert K. Magovern

Title: Attorney-in-Fact

SIGNATURE PAGE (continued)

OCEAN NETWORK EXPRESS
PTE LTD.

By: 

Name: Robert K. Magovern

Title: Attorney-in-Fact

WALLENIUS WILHELMSSEN
OCEAN AS

By: 

Name: Robert K. Magovern

Title: Attorney-in-Fact

WAN HAI LINES LTD. and
WAN HAI LINES (SINGAPORE)
PTE LTD. (acting as a single party)

By: 

Name: Robert K. Magovern

Title: Attorney-in-Fact

YANG MING MARINE TRANSPORT CORP.

By: 

Name: Robert K. Magovern

Title: Attorney-in-Fact

ZIM INTEGRATED SHIPPING
SERVICES, LTD.

By: 

Name: Robert K. Magovern

Title: Attorney-in-Fact

MATSON NAVIGATION COMPANY, INC.

By: 

Name: Robert K. Magovern

Title: Attorney-in-Fact

SWIRE SHIPPING PTE. LTD.

By: 

Name: Robert K. Magovern

Title: Attorney-in-Fact

PARTIES

COSCO SHIPPING LINES CO., LTD.,
ORIENT OVERSEAS CONTAINER LINE LTD., and
OOCL (EUROPE) LIMITED (acting as a single party)
378, Da Ming Road (East)
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CMA CGM S.A., APL CO. PTE. LTD., AMERICAN
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CROWLEY CARIBBEAN SERVICES, LLC and
CROWLEY LATIN AMERICA SERVICES, LLC
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EVERGREEN MARINE
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HAPAG-LLOYD AG
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HMM COMPANY LIMITED
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INDEPENDENT CONTAINER LINE, LTD.
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PARTIES

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MSC MEDITERRANEAN SHIPPING COMPANY SA
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Andrei Sakharov Street 9
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SWIRE SHIPPING PTE. LTD.
300 Beach Road, #27-01
The Concourse
Singapore 199555

BYLAWS
OF
WORLD SHIPPING COUNCIL

ARTICLE ONE
OFFICES

The corporation is organized under the laws of the District of Columbia and may have such offices as the board of directors may determine from time to time.

ARTICLE TWO
PURPOSE

Section 1. Purpose. The purpose of the corporation is to establish a unified voice for the global liner shipping industry, including container and roll-on/roll-off carriers, and promote and improve business conditions for liner carriers by studying and advocating industry positions with regard to laws, regulations, policies, rules and guidelines of governments and international organizations, and increasing governmental and public awareness of the importance, necessity and efficiency of liner carrier services.

Section 2. Excluded Items. The corporation shall not become involved in or take positions on issues related to U.S.-flag vessels, such as subsidies to U.S.-flag vessels, cargo preferences for U.S.-flag vessels, or the exclusive right of U.S.-flag vessels to engage in the U.S. domestic trades. The corporation shall not be used by a member or members to discuss or agree upon commercial or operational matters including, but not limited to, transportation rates, charges and services offered by members to their customers. This Section 2 may be amended only by unanimous vote of all the members entitled to vote.

ARTICLE THREE
MEMBERS

Section 1. Classes of Members. There shall be one class of members.

Section 2. Eligibility of Members. Any liner carrier owning, operating or chartering vessels in international trade that desires to become a member of the corporation shall submit a written application to the corporation. Each application shall be considered by the board of directors and such membership shall be approved upon a three-quarters (3/4) vote of the board of directors. Applicants whose applications are so approved shall become members of the corporation on payment of the required dues.

Section 3. Member Voting Rights. Each member shall be entitled to one vote on each matter submitted to a vote of the members.

Section 4. Termination of Membership. Any member may be suspended or expelled either for cause or if that member is in default in the payment of dues, or terminated if that member becomes ineligible for membership, upon a three-quarters (3/4) vote of the board of directors.

Section 5. Resignation/Financial Commitment. Any member may resign at any time on no less than six (6) months' notice by sending a written notice of resignation notifying the Chair of the board of directors.

Section 6. Reinstatement. Upon written request, and a three-quarters (3/4) vote of the board of directors, a former member may be reinstated to membership on such terms as the board of directors may reasonably deem appropriate.

Section 7. Transfer of Membership. Membership in this corporation is not transferable or assignable except as approved by a three-quarters (3/4) vote of the board of directors.

Section 8. FMC Agreement. Members that are ocean common carriers within the meaning of the U.S. Shipping Act, as amended, shall be parties to the cooperative working agreement initiated by the corporation that will be filed with the Federal Maritime Commission ("FMC"). Members that are not ocean common carriers will not be parties to any such FMC Agreement. Actions taken by the parties to the FMC Agreement shall be voluntary, and no party to the FMC Agreement shall be bound by any action taken thereunder.

ARTICLE FOUR MEETINGS OF MEMBERS

Section 1. Annual Meeting. An annual meeting of the members shall be held for the purpose of electing directors and for the transaction of such other business as may come before the meeting. All member meetings shall comply with applicable legal and regulatory requirements. Annual meetings may be held, and members may individually participate in, an annual meeting physically in person or remotely by means of telephone conference, online or video conference, or any other means of communication by which all persons participating in the meeting can speak and are able to hear one another. Such participation shall constitute presence in person at the meeting. The chosen forum of the annual meeting shall have no effect on the voting required for actions to be taken or decisions to be made at such meeting under these Bylaws.

Section 2. Special Meetings. Special meetings of the members may be called by the Chair of the board of directors, a three-quarters (3/4) vote of the board of directors, any two (2) members, or the president and CEO of the corporation at a place designated by the board of directors. Special meetings may be held, and members may individually participate in, a special meeting physically in person or remotely by means of telephone conference, online or video conference, or any other means of communication by which all persons

participating in the meeting can speak and are able to hear one another. Such participation shall constitute presence in person at the meeting. The chosen forum of the special meeting shall have no effect on the voting required for actions to be taken or decisions to be made at such meeting under these Bylaws.

Section 3. Proxies. At any meeting of members, a member may vote by proxy executed in writing by the member or by his duly authorized attorney in fact.

Section 4. Member Decisions. A three-quarters (3/4) vote of the members who choose to exercise their vote option at a meeting in which there is a quorum shall be required for any act of the members taken at a meeting, unless the act of a greater number is required by law or by these Bylaws. Decisions on positions advocated or developed by the corporation ("External Matters") shall define the position of the corporation, but no such decision shall be binding on any member. For the avoidance of doubt, no decision on External Matters taken by the Corporation shall limit or restrict any member from taking a different position on any such External Matters. For purposes of clarity, External Matters shall not include internal governance or administrative matters of the corporation, such as budget and dues, election of directors or a board chair, approval of new members or termination of current members, and changes to the Bylaws.

Section 5. Quorum. A minimum of sixty percent (60%) of all the members shall constitute a quorum for the transaction of business at any meeting of the members.

Section 6. Notice. Notice stating the place, day and hour of any meeting of members shall be given at least ten (10) days prior to such meeting by written notice delivered personally, via courier delivery service (*e.g.* Federal Express), by email or other electronic means. If sent by electronic means, the notice shall be deemed delivered on the date of transmission if such date is a business day, or otherwise shall be deemed delivered on the immediate next business day. The purpose or purposes for which the meeting is called shall be stated in the notice. In circumstances requiring urgent actions, this notice requirement can be waived by a three-quarters (3/4) vote of the members by email or other electronic means.

ARTICLE FIVE BOARD OF DIRECTORS

Section 1. General Powers. The affairs of the corporation shall be managed by the board of directors.

Section 2. Number, Tenure, Qualifications, and Chair and Vice-Chair.

a. The corporation shall have a minimum of seven (7) directors and a maximum of twenty (20) directors. All members shall be entitled to designate one (1) representative to serve as a director on the corporation's board of

directors. Should the board be comprised of the maximum twenty (20) directors, any additional members not already on the board shall be entitled to designate a representative to serve as a director on a first-come, first served basis as soon as a board seat becomes available. Member representatives that meet the criteria set forth in subsection 2(b) herein are permitted to nominate themselves to serve as a director. Members shall notify the Chair of the board of directors of their self-nominations, who shall further notify the other directors. Unless a maximum of twenty (20) directors is reached, self-nominations to serve on the board shall be effective upon notification to the board of directors.

b. Participation as a director of the corporation shall be available to any chief executive officer or equivalent of any member in good standing. Absent extenuating circumstances, members shall take all reasonable efforts to provide their CEO or equivalent as a director. In the event a CEO or equivalent of a member anticipates being unable to participate at the Board, the member CEO or equivalent may nominate one (1) other representative from the member to sit on the board as a director in the CEO or equivalent's absence. This representative must possess decision-making authority for the member in order to participate in Board sessions. A member may not designate any other individual to sit on and participate in Board sessions except for the one (1) representative provided for in this section. All CEO or equivalent representatives on the board shall continue to hold their position as director until their successor is appointed. Any non-CEO participant on the board shall be subject to a renewable term of three (3) years, or shorter at the member's direction. Directors need not be residents of the District of Columbia.

c. The board of directors shall, by a three-quarters (3/4) vote, elect a chair and vice-chair of the board of directors, each of whom shall serve at least a two (2) year term and, in no event serve longer than a three (3) year term. The chair of the board of directors shall preside over all meetings of the members and board of directors. In the absence of the chair at such meeting, the vice-chair shall preside. In the absence of both the chair and vice-chair, the board shall designate an acting chair to preside at such meeting, which may be the President and CEO. The chair and vice-chair can be removed by a three-quarters (3/4) vote of the board of directors at any time.

Section 3. Regular Meetings. A regular meeting of the board of directors shall be held, at least twice on an annual basis. The board of directors shall undertake all efforts to ensure that at least one (1) of the regular meetings occurs in person, at a location to be determined by the board of directors. All meetings of the board of directors shall comply with applicable legal and regulatory requirements. A regular board meeting may be held, and directors may individually participate in, a regular board meeting physically in person or remotely by means of telephone conference, online or video conference, or any other means of communication by which all persons participating in the meeting are able to speak and hear one another. Such participation shall constitute presence in person at the meeting. The chosen forum of the regular meeting of the board shall have no effect on the voting required for actions to be taken or decisions to be made at such meeting under these Bylaws.

Section 4. Special Meetings. Special meetings of the board of directors may be called by or at the request of the chair, vice-chair, any two (2) directors, or the president and CEO and shall be held at such place as the board may determine. A special board meeting may be held, and directors may individually participate in, a special board meeting physically in person or

remotely by means of telephone conference, online or video conference, or any other means of communication by which all persons participating in the meeting are able to speak and hear one another. Such participation shall constitute presence in person at the meeting. Additionally, upon the request of the chair, vice-chair, any two (2) directors, or the President and CEO, and at the approval of the chair in his or her reasonable discretion, the board of directors may consider and vote on individual measures by means of e-mail correspondence without the need to meet in-person or remotely. In this context, (i) all members of the board of directors shall be deemed present for the proposed vote upon receipt of the e-mail communication, (ii) the President and CEO, or his or her designee, shall provide an explicit time period in which members may submit votes, and (iii) the lack of a response by a member of the board of directors in the applicable time period shall be considered a vote against the proposed action. At the conclusion of any vote conducted through e-mail correspondence, the President and CEO shall provide a summary to the board of directors of the voting results on an aggregated basis. The chosen forum of the special meeting of the board shall have no effect on the voting required for actions to be taken or decisions to be made at such meeting under these Bylaws.

Section 5. Limitation on Alternates. A director may not delegate or assign to any other person the right to participate in Board meetings or to cast votes. Notwithstanding the preceding sentence, a CEO or equivalent may replace a director with less executive authority from the same member or member's affiliate for a particular meeting provided that at least five days' advance notice is provided to the chair.

Section 6. Board Decisions. A three-quarters (3/4) vote of the directors who choose to exercise their vote option at a meeting in which there is a quorum shall be required for all acts of the board taken at a meeting, unless the act of a greater number is required by law or by these Bylaws.

Section 7. Quorum. The presence of fifty percent (50%) of all directors shall constitute a quorum; provided, however, that if the board of directors is comprised of seven (7) directors, then three (3) directors shall constitute a quorum.

Section 8. Notice. Notice of any meeting of the board of directors shall be given at least ten (10) days prior to such meeting by written notice delivered personally, via courier delivery service (*e.g.* Federal Express), by email or other electronic means. If sent by electronic means, the notice shall be deemed delivered on the date of transmission if such date is a business day, or otherwise shall be deemed delivered on the immediate next business day. The attendance of a director at any meeting shall constitute a waiver of notice of such meeting, except where a director attends a meeting for the express purpose of objecting to the transaction of any business because the meeting is not lawfully called or convened. The business to be transacted at the meeting need not be specified in the notice or waiver of notice of such meeting, unless specifically required by law or by these Bylaws. In circumstances requiring urgent actions, this notice requirement can be waived by a three-quarters (3/4) vote of the board of directors by email or other electronic means.

ARTICLE SIX
OFFICERS AND STAFF

Section 1. Officers. The officers of the corporation shall be a president and CEO, one (1) or more vice presidents (the number thereof to be determined by the board of directors), and a treasurer. Any two (2) or more offices may be held by the same person, except the president and treasurer.

Section 2. Election and Term of Office. All the officers of the corporation shall be elected by a three-quarters (3/4) vote of the board of directors, for terms to be decided by the board of directors. All officers,

including the president and CEO, shall hold office until their successors have been duly elected.

Section 3. Removal. Any officer elected or appointed by the board of directors may be removed by a three-quarters (3/4) vote of the board of directors whenever in its judgment the best interests of the corporation would be served thereby.

Section 4. Vacancies. A vacancy in any office because of death, resignation, removal, disqualification or otherwise, may be filled by the board of directors for the unexpired portion of the term.

Section 5. Powers and Duties. The officers shall have such powers and shall perform such duties as may from time to time be specified in resolutions or other directives of the board of directors. In the absence of such specifications, each officer shall have the powers and authority and shall perform and discharge the duties of officers of the same title serving in nonprofit corporations having the same or similar general purposes and objectives as this corporation.

Section 6. Staff. The corporation may appoint designated professional staff to assist the officers in the day-to-day functions of the corporation as decided by the board of directors.

ARTICLE SEVEN

COMMITTEES OF DIRECTORS AND SUBJECT MATTER COUNCILS

Section 1. Board Committees. The board of directors may, by a three-quarters (3/4) vote of the directors, designate one (1) or more committees, each of which shall consist of two (2) or more directors, which committees, to the extent provided in such resolution, shall have and exercise the authority of the board of directors in the management of the corporation; but the designation of such committees and the delegation thereto of authority shall not operate to relieve the board of directors, or any individual director, of any responsibility imposed on it or the individual director by law.

Section 2. Functional Councils.

a. The board of directors may, by a three-quarters (3/4) vote of the directors, establish, abolish and define the subject matter scope of any such functional councils as it deems necessary and proper to carry out the purposes of the corporation.

b. The functional councils shall be made up of member representatives with appropriate expertise and responsibilities within their respective companies. In coordination with the president and CEO, officers, and designated professional staff of the corporation, and under the ultimate direction of the board of directors, the councils shall coordinate programs, policies, regulatory initiatives, public positions of the corporation and other actions to fulfill the purposes of the corporation. In addition to furthering the

substantive work of the corporation, the councils shall provide a forum for all members to share their views on policy matters properly within the scope of the corporation's work. All actions by a council shall require a three-quarters (3/4) vote of the members of the council who choose to exercise their vote option. No member shall be required to participate on any functional council established by the board of directors, or be required to vote on any decisions to be made or actions to be taken by a functional council. All actions taken by any functional council shall be voluntary, and no member participating on any functional council shall be bound by such actions.

c. The following councils are hereby authorized as of the effective date of this Article Seven, Section 2:

- i. Environment and Climate
- ii. Safety and Security
- iii. Industry Structure
- iv. Communications and Public Relations

d. Each member is entitled to designate one representative and one alternate representative for each council. The members of each council shall by nomination and three-quarters (3/4) vote (one member/one vote) choose a chair to coordinate and organize the work of each council. The council chairs shall serve for two (2) years. Councils may meet in person or by means of telephone conference, video conference, or any other means of communication by which all persons participating in the meeting can speak and are able to hear one another. The council chair shall call meetings as required in order to conduct the business of the council, with the frequency, format and location of such meetings designed to conduct the necessary business of the council with due consideration to minimizing unnecessary cost and disruption for council members and to facilitating participation of all members. All council meetings shall comply with any legal or regulatory requirements.

e. Each council shall, through its chair and in coordination with the president and CEO, report at least once per year to the board of directors regarding the work of that council. The chair of each council, the chair of the board, the president and CEO and any member representative or alternate on any council may elevate an issue to the board of directors in any case in which any such individual believes that such issue is of such legal, policy, financial or operational importance that it warrants the consideration of the board of directors.

f. In order to ensure that the corporation remains agile and responsive to issues of importance to the membership, the president and CEO shall communicate fully and regularly with the chair of each council regarding matters that require the attention of that council.

ARTICLE EIGHT

CONTRACTS, CHECKS, DEPOSITS AND GIFTS

Section 1. Contracts. The board of directors may authorize any officer or agent of the corporation to enter into any contract or execute and deliver any

instrument in the name of and on behalf of the corporation, and such authority may be general or may be confined to specific instances.

Section 2. Checks, Drafts, or Orders. All checks, drafts or orders for the payment of money, notes or other evidences of indebtedness issued in the name of the corporation, shall be signed by such officer(s) or agent(s) of the corporation, and in such manner as shall from time to time be determined by the board of directors. In the absence of such determination by the board of directors, such instruments shall be signed by the treasurer or the president and CEO of the corporation.

Section 3. Deposits. All funds of the corporation shall be deposited from time to time to the credit of the corporation in such banks, trust companies or other depositaries as the board of directors may select.

Section 4. Gifts. The board of directors may accept on behalf of the corporation any contribution, gift, bequest or devise for any purpose of the corporation; provided such gift complies with applicable legal and regulatory requirements.

ARTICLE NINE CERTIFICATES OF MEMBERSHIP

Section 1. Certificates of Membership. The board of directors shall, upon the request of any member, provide for the issuance of certificates evidencing membership in the corporation, which certificates shall be in such form as may be determined by the board of directors. Such certificates shall be signed by the president and CEO, vice president or treasurer and shall be sealed with the seal of the corporation.

Section 2. Issuance of Certificates. When a member has been elected to membership and has paid the dues that may then be required, a certificate of membership shall be issued in its name and delivered to it by or on behalf of an officer.

ARTICLE TEN BOOKS AND RECORDS

The corporation shall keep correct and complete books and records of account and shall also keep minutes of the proceedings of its members, board of directors and any committees or subject matter councils, and shall keep at the principal office a record giving the names and addresses of the members entitled to vote. All books and records of the corporation may be inspected by any member, or his agent or attorney, for any proper purpose at any reasonable time.

ARTICLE ELEVEN FISCAL YEAR

The fiscal year of the corporation shall be the annual period of August 1 – July 31, unless otherwise decided by the board of directors.

ARTICLE TWELVE
DUES

Section 1. Annual Dues. There will be five (5) categories or tiers of membership dues, which are based on the global container capacity (TEU) operated (owned and chartered) by each member, as calculated by a publicly available source to be determined by the board of directors. Members that do not operate cellular containerships shall be in the lowest membership dues tier (Tier 5). Decisions with respect to dues shall be made by a three-quarters (3/4) vote of the board of directors.

Section 2. Payment of Dues. Dues shall be billed and payable annually in advance for each annual period. Interest at the rate of ten percent (10%) per annum shall be charged on all dues payments that are delinquent for more than thirty (30) days, and such interest may only be compromised or waived for good cause as determined by the board of directors.

Section 3. Annual Review of TEU Volume for Purposes of Adjusting Dues. At the beginning of every annual period (August 1 – July 31), the dues schedule for the coming annual period shall be adjusted based on: i) the approved budget for the coming annual period, and ii) the global container capacity (TEU) operated (owned and chartered) by each member on May 1 as reported by a publicly available source to be determined by the board of directors.

Section 4. Default and Termination of Membership. When any member is delinquent in the payment of dues for a period of three (3) months, it shall not be entitled to vote and its membership may be terminated by the board of directors as provided hereinabove.

ARTICLE THIRTEEN
SEAL

The board of directors shall provide a corporate seal.

ARTICLE FOURTEEN
WAIVER OF NOTICE

Whenever any notice is required to be given under the provisions of the District of Columbia Nonprofit Corporation Act or under the provisions of the Articles of Incorporation or the Bylaws of the corporation, a waiver thereof in writing signed by the person or persons entitled to such notice, whether before or after the time stated therein, shall be deemed equivalent to the giving of such notice.

ARTICLE FIFTEEN
BUDGET

At least thirty (30) days before the regular meeting of the board of directors, or within such period as the board of directors upon reasonable

notice designates, the president and CEO of the corporation shall submit an annual budget for the upcoming annual period to the board of directors for their approval. The budget shall be approved by a three-quarters (3/4) vote of the board of directors. If a proposed budget is not approved, the president and CEO shall present a revised budget for consideration taking into account the points raised by board members during discussion of the prior proposal. In the event that a budget for the upcoming fiscal year is not approved, the budget and dues levels approved for the then-current fiscal year shall become the budget and dues level for the upcoming fiscal year until such time as that budget may be amended by three-quarters (3/4) vote of the board of directors.

ARTICLE SIXTEEN
AMENDMENT OF BYLAWS AND ARTICLES OF INCORPORATION

Except as otherwise provided for herein, these Bylaws and the Articles of Incorporation of the corporation may be altered, amended or repealed, and new Bylaws or Articles may be adopted by a three-quarters (3/4) vote of the members.

ARTICLE SEVENTEEN
DISSOLUTION

The corporation may be dissolved by a three-quarters (3/4) vote of all the members. Upon dissolution, all the assets remaining after satisfying all debts, liabilities and obligations of the corporation shall be distributed to the members on a pro rata basis of their contributions; provided, however, that no member shall receive a distribution exceeding the total amount of dues it paid to the corporation.

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